IN THE UNITED STATES DISTRICT COURT
FOR THE MIDDLE DISTRICT OF TENNESSEE
NASHVILLE DIVISION

VERIS HOME TECHNOLOGY LLC d/b/a AXISS Audio, *Plaintiff,* v. MICHAEL BOVAIRD, MICHAEL GEFTEAS, FLORIAN WIEGAND, SUNCOAST AUDIO LLC, LUXURY HI-FI DISTRIBUTION LLC, CLARISYS AUDIO GLOBAL DISTRIBUTION, LLC, and BESPOKE AUDIO SHOP, *Defendants.*	)	Case No. 3:26-cv-00918 JURY DEMAND District Judge Waverly D. Crenshaw, Jr. Magistrate Judge Luke A. Evans

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MEMORANDUM OF LAW IN SUPPORT OF DEFENDANT MICHAEL GEFTEAS' AND BESPOKE AUDIO SHOP'S MOTION TO DISMISS FOR LACK OF SUBJECT-MATTER AND/OR PERSONAL JURISDICTION, OR IMPROPER VENUE, OR, IN THE ALTERNATIVE, FOR FAILURE TO STATE A CLAIM

Defendants Michael Gefteas and sole proprietorship Bespoke Audio Shop (collectively, "Gefteas"),[1] by and through undersigned counsel, appearing specially to preserve all defenses under Federal Rule of Civil Procedure 12(b), submit this Memorandum of Law in support of Gefteas' Motion to Dismiss this action for lack of subject-matter jurisdiction and/or personal jurisdiction. In the alternative, if, and only if, the Court concludes that it has jurisdiction, Gefteas moves to dismiss this action for improper venue. In the alternative, if, and only if, this Court determines that Gefteas is not entitled to dismissal or transfer on jurisdictional or venue grounds,

[1] Bespoke Audio Shop is a website operated by Gefteas, not a distinct legal entity. Therefore, Gefteas intends that each reference to movant Gefteas be read as including Bespoke Audio Shop.

and without any waiver of Gefteas' denial that this judicial district has jurisdiction, Gefteas asks that this Court dismiss the Complaint for failure to state a claim upon which relief can be granted.[2]

BRIEF FACTUAL & PROCEDURAL HISTORY

Gefteas is a hobbyist audiophile who makes social media content about audio equipment and occasionally sells equipment online under the name Bespoke Audio Shop ("Bespoke"). *Cf.* Doc. No. 1, ¶¶ 26, 84–85. In or around July and August 2025, Gefteas made social media posts opining on a recent dispute between a then-unidentified distributor, dealer, and customer after the customer's recently purchased imported luxury amplifier failed and allegedly damaged his high-end speakers. *Id.*, ¶ 141; *see* Doc. No. 1-4. On February 15, 2026, the customer—who was based in Malibu, California and went by the screenname "pk_LA"—posted about his experience with the Soulution-brand amplifier on an online forum. Doc. No. 1-9. A few days later, on February 17, the distributor, AXISS Audio, made its own update post about the amplifier in the same forum. Doc. No. 1-8. After these public discussions by AXISS and pk_LA, Gefteas began discussing the incident with more explicit references to the relevant players. *Cf.* Doc. Nos. 1-10, 1-11, 1-12.

On July 2, 2026, plaintiff Veris Home Technology LLC d/b/a AXISS Audio ("Veris")—the holding company of AXISS Audio USA, LLC and AXISS Distribution Inc.—sued Gefteas and Bespoke alleging defamation (Count II) and intentional interference with business relationships (Count VI). Veris alleges that Gefteas' posts published a false narrative regarding

[2] To avoid waiver, Gefteas moves for dismissal under Rule 12(b)(6) "only conditionally" insofar as Gefteas only seeks Rule 12(b)(6) dismissal if, and only if, this Court finds jurisdiction and proper venue and denies Gefteas' Motions under Rules 12(b)(1), (2), and (3). *Cf. Santoni v. Mueller*, No. 3:20-CV-00975, 2022 WL 97049, at *8 n.9 (M.D. Tenn. Jan. 10, 2022) (emphasis original).

pk_LA's request for a refund, whether the amplifier "blew up," and whether any physical injuries resulted. Doc. No. 1, ¶ 286. Additionally, Veris further alleges a civil conspiracy between Gefteas, AXISS's alleged competitors—Suncoast Audio LLC, Luxury Hi-Fi Distribution LLC, and Clarisys Audio Global Distribution, LLC—and their owners—Michael Bovaird and Florian Wiegand (Count VII).

ARGUMENT

I. The Court Should Dismiss the Complaint for Lack of Subject-Matter Jurisdiction.

Veris is a "holding company" with two subsidiaries: AXISS Audio USA, LLC ("AAU") and AXISS Distribution Inc. ("ADI"). Doc. No. 1, ¶ 1. All three entities—Veris, AAU, and ADI—do business as "AXISS Audio." *Id.* Although the Complaint conflates these three entities, parent company Veris does not have standing to sue for injuries allegedly suffered by its subsidiaries.

A. Standard of Law.

Standing "is the threshold question in every federal case, determining the power of the court to entertain the suit." *Warth v. Seldin*, 422 U.S. 490, 498 (1975). "Article III standing is a question of subject matter jurisdiction properly decided under [Rule] 12(b)(1)." *Am. BioCare Inc. v. Howard & Howard Att'ys Pllc*, 702 F. App'x 416, 419 (6th Cir. 2017) (citations omitted). The plaintiff bears the burden of proving subject matter jurisdiction in response to a motion to dismiss. *Giesse v. Sec'y of Dep't of Health & Hum. Servs.*, 522 F.3d 697, 702 (6th Cir. 2008).

B. Veris Pleads that the Defendants Injured Veris' Non-Party Subsidiaries.

Federal jurisdiction "can be invoked only when the plaintiff himself has suffered 'some threatened or actual injury[.]'" *Warth*, 422 U.S. at 499 (citations omitted). "[T]he plaintiff

generally must assert his own legal rights and interests, and cannot rest his claim to relief on the legal rights or interests of third parties." *Id.* (collecting cases). "A basic tenet of American corporate law is that the corporation and its shareholders are distinct entities." *Dole Food Co. v. Patrickson*, 538 U.S. 468, 474 (2003). "As a general rule, two separate corporations are regarded as distinct legal entities even if the stock of one is owned wholly or partly by the other." *Sec. Indus. & Fin. Markets Ass'n v. United States Commodity Futures Trading Comm'n*, 67 F. Supp. 3d 373, 406 (D.D.C. 2014) (citations omitted). "On this basis, the shareholder standing rule generally precludes a parent corporation […] from having standing to bring an action on behalf of its subsidiary[.]" *Id.* (citations omitted). A parent company which "desires the legal benefits" of the parent-subsidiary relationship must also "must accept the legal consequences, including its inability later to treat the subsidiary as its alter ego because of certain advantages that might thereby be gained." *Id.* (citation omitted). This rule "prevent[s] parent corporations from having their cake and eating it too[.]" *Id.*; *see, e.g.*, *Media Gen., Inc. v. Tanner*, 625 F. Supp. 237, 244 (W.D. Tenn. 1985) (dismissing a plaintiff's claims which "actually reflect[ed] injury incurred by the […] plaintiff's subsidiary").

Here, the Complaint uses the term "AXISS" interchangeably to refer both to Veris individually and to all three entities (Veris, AAU, and ADI) collectively. Doc. No. 1, ¶¶ 1, 20. Every injury identified in the Complaint is alleged to have been suffered by "AXISS," without clarification or consistency as to precisely which legal entity suffered the harm. *See, e.g.*, Doc. No. 1, ¶¶ 264–74, 281–83, 291–93, 306–09, 314–16, 320–22. The contracts attached to the

Complaint demonstrate that Veris itself could not suffer all the harms it alleges.[3] For example, the exhibits show that it was ADI—not Veris—which entered into the authorized dealer agreement with Suncoast Audio LLC ("Suncoast"). *See* Doc. No. 1-2. Likewise, it was ADI—not Veris or AAU—which entered the exclusive North American distributor contract with Soulution's Swiss manufacturer, Spemot AG. *Cf.* Doc. No. 1-1. The corresponding references to the "AXISS" collective necessarily refer to ADI; the exclusive Soulution contract belies any other interpretation.

Per the Complaint, Veris is but a mere holding company—i.e., "[a] company formed to control other companies, usu[ally] confining its role to owning stock and supervising management," which "does not participate in making day-to-day business decisions in those companies" Company, BLACK'S LAW DICTIONARY (12th ed. 2024). Thus, ADI—not Veris—would be the proper party to bring not only any claims for breach of the Suncoast contract but also any claims for damages flowing from alleged interference with ADI's relationship with manufacturers and any reputational or financial harms suffered by ADI. Veris does not plausibly allege that it has relationships with any entities other than its subsidiaries AAU and ADI.

Veris argues it can sue on behalf of ADI because it "owns all stock and controls all property and rights" belonging to ADI. Doc. No. 1, ¶ 20. But "[a] corporate parent which owns the shares of a subsidiary does not, for that reason alone, own or have legal title to the assets of the subsidiary[.]" *Dole*, 538 U.S. at 475. Confronted with similar facts, the Sixth Circuit upheld a Rule 12(b)(1) dismissal where a plaintiff holding company attempted to sue on behalf of its

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[3] *See, e.g.*, *Williams v. CitiMortgage, Inc.*, 498 F. App'x 532, 536 (6th Cir. 2012) (citations omitted) ("[W]hen a written instrument contradicts allegations in the complaint to which it is attached, the exhibit trumps the allegations" and "if a factual assertion in the pleadings is inconsistent with a document attached for support, the Court is to accept the facts as stated in the attached document[.]").

subsidiaries. *See Am. BioCare*, 702 F. App'x at 420–21 (6th Cir. 2017) ("[E]ven assuming that [the holding company] retains ownership in the [subsidiaries], it still lacked standing to sue in their names.").

The Court should reach the same result here. The subsidiaries AAU and ADI remain distinct legal entities from their parent Veris. The three legally separate entities do not become one and the same legal entity by doing business under the same brand name of "AXISS." While the Complaint conflates Veris, AAU, and ADI under the collective term "AXISS," AAU and ADI are not plaintiffs in this case. Therefore, on the face of the pleadings, Veris has attempted to "rest [its] claim to relief on the legal rights or interests of third parties." *Cf. Warth*, 422 U.S. at 499. As a parent holding company, Veris does not have Article III standing to vindicate the rights of or recover damages on behalf of its third-party subsidiaries. Therefore, because Veris pleads harm to "AXISS" and seeks to recover for harms incurred by non-party subsidiaries, this Court should dismiss the Complaint for lack of subject-matter jurisdiction.

IV. In the Alternative, the Court Should Dismiss the Complaint for Failure to State a Claim Under Federal Rule of Civil Procedure 12(b)(6).

If, and only if, the Court denies Gefteas' requests for dismissal on the basis of subject-matter jurisdiction, personal jurisdiction, and venue, Gefteas requests that this Court dismiss the Complaint for failure to state a claim upon which relief can be granted under Rule 12(b)(6).

A. Standard of Law.

"To survive a motion to dismiss, a complaint must contain sufficient factual matter, accepted as true, to 'state a claim to relief that is plausible on its face.' " *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (citation omitted). "A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable

for the misconduct alleged." *Id.* While the court must accept the Complaint's well-pleaded allegations as true and draw reasonable inferences in the plaintiff's favor, that does not extend to "legal conclusions." Likewise, "bare assertions," threadbare "formulaic recitation[s] of the elements," and "conclusory" or "bald" allegations "are not entitled to the assumption of truth" and do not "count toward the [p]laintiff's goal of reaching plausibility of relief." *Carper v. Nissan N. Am., Inc.*, 820 F. Supp. 3d 716, 722 (M.D. Tenn. 2025) (quoting *Iqbal*, 556 U.S. at 680). "Determining whether a complaint states a plausible claim for relief" is "a context-specific task that requires the reviewing court to draw on its judicial experience and common sense." *Iqbal*, 556 U.S. at 679. "[F]actual allegations that are merely consistent with the defendant's liability do not satisfy the claimant's burden, as mere consistency does not establish plausibility of entitlement to relief even if it supports the possibility of relief." *Carper*, 820 F. Supp. 3d at 721 (citing *Iqbal*, 556 U.S. at 678). "[W]here the well-pleaded facts do not permit the court to infer more than the mere possibility of misconduct, the complaint has alleged—but it has not 'show[n]'—'that the pleader is entitled to relief.' " *Iqbal*, 556 U.S. at 679 (quoting Fed. R. Civ. P. 8(a)(2)). "When faced with a Rule 12(b)(6) motion, the Court's inquiry is limited to the content of the complaint, although it may also consider matters of public record, orders, items appearing in the record of the case, and exhibits attached to or incorporated by reference into the complaint." *Hill v. Ardent Health Servs.*, 806 F. Supp. 3d 711, 715 (M.D. Tenn. 2025) (citation omitted). "When a document is referred to in the pleadings and is integral to the claims, it may be considered without converting a motion to dismiss into one for summary judgment." *Carper*, 820 F. Supp. 3d at 722.

B. Veris Fails to Plausibly State a Defamation Claim Against Gefteas (Count II).

Tennessee law governs Veris's defamation claim because federal courts sitting in diversity apply the substantive law of the forum state. *Hudik v. Fox News Network, LLC*, 512 F. Supp. 3d 816, 824 (M.D. Tenn. 2021) (citations omitted). Under Tennessee law, a plaintiff establishes a prima facie case of defamation by showing that: "1) a party published a statement; 2) with knowledge that the statement is false and defaming to the other; or 3) with reckless disregard for the truth of the statement or with negligence in failing to ascertain the truth of the statement." *Sullivan v. Baptist Mem'l Hosp.*, 995 S.W.2d 569, 571 (Tenn. 1999) (citations omitted). "Publication is a term of art meaning the communication of defamatory matter to a third person." *Quality Auto Parts Co. v. Bluff City Buick Co.*, 876 S.W.2d 818, 821 (Tenn. 1994). Written defamation is "libel," and spoken defamation is "slander." *Id.* at 820.

CONCLUSION

For the foregoing reasons, Gefteas requests that this action be dismissed in its entirety for lack of subject-matter and/or personal jurisdiction. In the alternative, if, and only if, this Court declines to dismiss on jurisdictional grounds, Mr. Gefteas requests that this action be dismissed for improper venue. Finally, if, and only, if this Court finds jurisdiction and proper venue, Gefteas requests that this action be dismissed for failure to state a claim upon which relief can be granted.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that on the 11th day of September, 2026, I electronically filed the foregoing document with the Clerk of the Court using the CM/ECF system. Notice of this filing will be sent by operation of the Court's electronic filing system to all attorneys of record registered on the CM/ECF system. All other parties will be served by electronic mail and/or U.S. Mail. Parties may access this filing through the Court's electronic filing system.

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